



The Issue

Property Values Are Increasing

Property values have skyrocketed in recent years, rising almost 27 percent faster than inflation since 2020, which yields dramatically higher property taxes in jurisdictions that fail to adjust millages (rates) downward. In just two years, the average sales price of a US home soared from \$371,100 to \$525,100. Legitimate taxpayer discontent over high property taxes is fueling a movement to significantly curtail or even eliminate the property tax in states like Colorado, Connecticut, Florida, Georgia, Indiana, Iowa, Kansas, Maryland, Montana, Nebraska, New Hampshire, New Jersey, North Carolina, North Dakota, Pennsylvania, South Dakota, Texas, and Wyoming.

Common but Flawed Proposals

Some Proposals—Including Assessment Limits and Abolishing Property Taxes—Create More Problems Than They Solve

Many of the property tax reform proposals offered by policymakers, like **assessment limits** and **tax swaps** (including full abolition of the property tax), create more problems than they solve, distorting property markets and undermining long-term housing affordability. Property taxes are the primary tool for financing local governments and the single largest source of state and local revenue in the US, helping fund schools, roads, police, and other services. The property tax plays an important role in public finance and is more efficient, pro-growth, aligned with benefits received, and generally better suited to municipal finance than any of the alternatives.

A Better Solution for Property Tax Relief

Property Tax Levy Limits

A better path forward would focus on sound tax policy solutions like narrowly tailored circuit breakers to help ensure that low-income families are not priced out of their homes and **well-designed property tax levy limits** that provide homeowners with much-needed relief from soaring property tax bills without the harms associated with other policy responses. Property tax levy (or revenue) limits are concerned with the actual amount of revenue raised by a taxing authority, imposing rollbacks or reductions to ensure that collections do not increase in aggregate above a given amount.

As the most effective, neutral, and responsible tool for states looking for property tax relief, well-designed property tax levy limits:

- ✓ Constrain the growth of property taxes without distorting housing markets, undercutting economic growth, or shifting burdens onto new homeowners.
- ✓ Prevent unlegislated tax increases that result from appreciation in property values, without anyone—local officials or taxpayers—ever casting a vote to raise taxes.
- ✓ Keep property tax burdens in check without cutting the vital linkage between related assessed values (market value) and property owners' tax liabilities (taxation).

Lawmakers can constrain the growth of property taxes without creating new problems. But the details matter.

[LEARN MORE](#)

Featured Resources

[Research](#)

Confronting the New Property Tax Revolt

Policymakers can and should address taxpayers' legitimate grievances about out-of-control property tax bills, but they should do so without upending a system of taxation that is more efficient, fair, and pro-growth, and better suited to municipal finance, than any of the alternatives.

39 min read

[Research](#)

There's No Good Way to Pay for Property Tax Repeal

Backfilling forgone local property tax revenue through new state taxes is difficult because it dramatically shifts overall tax burdens, undermines local accountability, and cannot easily adjust for changing population mixes.

20 min read

Videos

What's the Best Way to Limit Property Tax Bill Increases?

When property values soar, homeowners can end up paying significantly higher taxes for basically the same services. Thankfully, there is a solution.

Podcast

Can We Replace the Property Tax?

With property tax bills on the rise, homeowners are searching for answers—and some even want to abolish the tax altogether. In this episode, we break down why property taxes are increasing, common but flawed solutions, and why the property tax remains an economically efficient revenue source.

Data

Property Taxes by State and County, 2026

Property taxes are the primary tool for financing local governments. While no taxpayers in high-tax jurisdictions will be celebrating their yearly payments, property taxes are largely rooted in the benefit principle of taxation: the people paying the property tax bills are most often the ones benefiting from the services.

9 min read

Research

October 30, 2025

2026 State Tax Competitiveness Index

The State Tax Competitiveness Index enables policymakers, taxpayers, and business leaders to gauge how their states' tax systems compare. While there are many ways to show how much state governments collect in taxes, the Index evaluates how well states structure their tax systems and provides a road map for improvement.

122 min read

Pages

January 1, 2023

2026 State Tax Resource Center

Fifty states, over 7,300 state legislators, and over 100,000 bills: legislative sessions are a whirlwind. But the Tax Foundation and its state experts are here to help make sense of the key tax policy issues in state capitols.

Data

August 25, 2022

Unpacking the State and Local Tax Toolkit: Sources of State and Local Tax Collections (FY 2020)

The mix of tax sources states choose can have important implications for both revenue stability and economic growth, and the many variations across states are indicative of the different ways states weigh competing policy goals.

29 min read

Featured Experts

Have a question about property taxes? [Contact us](#) to connect with a state tax policy expert or click on the experts below to request them as a speaker at your upcoming event.



Expert

Jared Walczak

Senior Fellow



Expert

Katherine Loughhead

Vice President of State Tax Policy



Expert

Abir Mandal

Senior Policy Analyst



Expert

Janelle Fritts

Senior Policy Analyst

**Manish Bhatt**

Expert

Nicole Fox*Policy Analyst*

Related Research & Analysis

Blog

March 24, 2026

Avenues for Property Tax Reform in North Carolina

When evaluating property tax reform options in North Carolina, only changes that restore balance—without distorting investment or shifting costs unfairly—will ensure the state's local tax system supports, rather than hinders, continued prosperity.

8 min read

Blog

March 18, 2026

Kansas Property Tax Reform Should Prioritize Neutrality and Minimize Economic Distortions

While well-intentioned, Kansas' assessment limit like the one in SCR 1616 would create wide gaps between a property's assessed value and its market value, distorting the real estate market and disadvantaging those purchasing newer properties.

8 min read

Testimony

February 12, 2026

Testimony: Assessment Limits and Property Taxes in Nebraska

Assessment limits are not sound tax policy. While well-intended, with hopes of preventing owners from being "taxed out of their homes," the tax shifts, lock-in effects, and housing supply issues created by assessment limits make housing affordability worse.

Research

October 7, 2025

There's No Good Way to Pay for Property Tax Repeal

Backfilling forgone local property tax revenue through new state taxes is difficult because it dramatically shifts overall tax burdens, undermines local accountability, and cannot easily adjust for changing population mixes.

20 min read

Testimony

September 17, 2025

Testimony: Kansas Sales Tax Modernization and Income and Property Tax Relief Considerations

Kansas policymakers' proposal to expand the sales tax base is well-intentioned but could be designed more prudently.

Blog May 29, 2025

Florida's Property Tax Reform Push: Weighing the Options Amidst a Lack of Consensus on the State Budget

Florida's latest property tax debate highlights the familiar challenge of prioritizing pro-growth tax policy while tackling rising property tax burdens.

6 min read

Blog April 17, 2025

Localities Opt Out of Georgia's New Homestead Tax Exemption

Policymakers may consider a broader, more comprehensive property tax reform that creates a uniform system with effective levy limits to prevent unauthorized increases in property tax revenues and, in most cases, property tax bills.

4 min read

Blog April 9, 2025

North Dakota's Property Tax Reform Proposals: A Three-Part Approach

North Dakota's financial position provides it with a rare capacity to deliver meaningful property tax relief. However, policymakers must balance immediate relief with fiscal sustainability and ensure that local governments remain adequately funded in the years ahead.

5 min read

Blog March 26, 2025

Indiana Mulls Local Income and Property Tax Reforms

This legislative session, local taxes are a major topic of debate in Indiana. Although the state's property tax system is already nationally competitive, dramatic increases in assessed values have created discontent in recent years.

8 min read

Research March 24, 2025

Securing Property Tax Relief in Iowa

With such an important change to Iowa's property tax system, it's important that lawmakers get the details right.

33 min read

Share this tool: taxfoundation.org/property-tax >